

A soggy start to August



ROBERT MILLER/THE WASHINGTON POST

Pedestrians wield umbrellas and traverse puddles Friday morning while crossing 14th Street NW in Washington. The city was given a respite from heat and humidity as the month of August began on a cooler, wetter note.

President rides high on tariffs — but for how long?

BY DAVID J. LYNCH

After a rough start, President Donald Trump's campaign to reshape global trade suddenly seems to be advancing from strength to strength.

Little more than six months into his unlikely second term, Trump has rewritten the rules governing more than \$3 trillion

in cross-border commerce. Against all mainstream economic advice, he has scrapped decades of American leadership in lowering trade barriers and raised the average tariff confronting U.S. importers to its highest point since Messrs. Smoot and Hawley ran U.S. trade policy in the 1930s.

Through tariffs — the president's favorite all-purpose policy

tool — new arrangements have been reached to open foreign markets to American products. Economists who warned this past spring that Trump was courting renewed inflation, recession and collapsing supply chains look like false prophets.

For the moment, the president is riding high, crowing that “tariffs are making America GREAT

& RICH Again” and basking in the glow of an economy that grew at a muscular 3 percent annual rate in the second quarter. Administration officials say Trump's trade wins will deliver the “Golden Age” that he promised.

“We are right in the middle of the transformation, not only of U.S. trade policy, but also of the

SEE TARIFFS ON A4

China advances real-world uses of AI

Beijing looks to practical applications as a way to take the lead on the tech

BY KATRINA NORTHROP

SHANGHAI — As the United States and China vie for control over the future of artificial intelligence, Beijing has embarked on an all-out drive to transform the technology from a remote concept to a newfangled reality, with applications on factory floors and in hospitals and government offices.

China does not have access to the most advanced chips required to power cutting-edge models due to restrictions from Washington and is still largely playing catch-up with Silicon Valley giants like OpenAI. But experts say Beijing is pursuing an alternative playbook in an attempt to bridge the gap: aggressively pushing for the adoption of AI across the government and private sector. (The Washington Post has a content partnership with OpenAI.)

“In China, there's definitely stronger government support for applications and a clear mandate from the central government to

SEE CHINA ON A11

A weight loss test for Medicare and Medicaid

BY PAIGE WINFIELD CUNNINGHAM

Some obese Americans on Medicare and Medicaid could get access to expensive weight loss drugs under a five-year experiment being planned by the Trump administration.

Under the proposed plan, state Medicaid programs and Medicare Part D insurance plans

In proposed experiment, programs to cover GLP-1 drugs like Ozempic

would be able to voluntarily choose to cover Ozempic, Wegovy, Mounjaro and Zepbound for patients for “weight manage-

ment” purposes, according to Centers for Medicare and Medicaid Services documents obtained by The Washington Post.

It's a strong signal that the administration is open to more broadly covering GLP-1 drugs — lauded by many as a miracle solution to Americans' longstanding struggle with weight — through government insurance

SEE DRUG ON A2

Amid doubts sown by White House, one farmer sees reprieve

Days after a Post story, USDA expedited his aid for summer help from Latin America, funds that Trump had frozen



MATT MCCLAIN/THE WASHINGTON POST

JJ Ficken, right, outside his Colorado home with Otto Vargas, whom Ficken hired for seasonal help.

BY JOHN WOODROW COX AND SARAH BLASKEY

He had begun to doubt the call would ever come, but as JJ Ficken arrived one June afternoon at a meeting for the local farming cooperative in eastern Colorado, his phone buzzed. An acronym he knew well appeared on the screen: “USDA.”

JJ's heart thudded in his ears.

Four days earlier, The Washington Post had published a story about a federal grant program that promised JJ \$200,000, spread across two years, to cover the cost of a seasonal farmhand from Latin America. In January, President Donald Trump suspended billions in agriculture funding, and even when a court ordered the money unfrozen, it was disbursed at a trickle, leaving desperate farmers

fearful the administration would kill the program before it reimbursed them. JJ, 37, endured months of uncertainty as he took on tens of thousands of dollars in debt to bring in a 24-year-old stranger from Guatemala.

Now, in the phone call on June 25, an empathetic staffer from the U.S. Agriculture Department told him that, after The Post's story, she had been directed to pay him as fast as possible. “She was told to get it done,” he said, and two days later, the first \$100,000 appeared in his bank account.

JJ realized he'd been prioritized, and he worried for the dozens of other farmers in the program who had also waited weeks or months to receive critical reimbursements. Now, in the aftermath of The Post's story, the Agriculture Department has moved to expedite all

SEE FARMER ON A18

Trump fires job data chief, raising alarm

MOVE FOLLOWS DIM SUMMER HIRING REPORT

Doubts deepen about labor picture, agency autonomy

BY ANDREW ACKERMAN AND JACOB BOGAGE

President Donald Trump on Friday said he ordered the dismissal of the official in charge of compiling basic statistics about the U.S. economy after the release of a soft jobs report that showed lackluster July employment growth and revealed large downward revisions for hiring in May and June.

Erika McEntarfer, the commissioner of the Bureau of Labor Statistics, was appointed to that role in 2024 by President Joe Biden. Commissioners serve four-year terms that often overlap with multiple presidential administrations. The commissioner before McEntarfer, the conservative economist William Beach, served in both the Biden and first Trump administrations. Trump, who announced McEn-

tarfer's ouster on social media, criticized her as a Biden appointee overseeing what he falsely called “faked” jobs numbers. He said he would replace McEntarfer with someone “more competent and qualified.”

Without evidence, he alleged the jobs numbers had been manipulated for political purposes.

“In my opinion, today's Jobs Numbers were RIGGED in order to make the Republicans, and ME, look bad,” he posted on his Truth Social site shortly after announcing that he would fire McEntarfer.

The firing came just hours after the BLS reported that the job market was far weaker than previously believed. Large cuts to earlier job counts erased 258,000

SEE FIRING ON A18

Cruel summer: Labor market is weaker than first reported. A14

Fed governor says she plans to resign early

Adriana Kugler steps down, giving Trump a chance to shape board

BY ANDREW ACKERMAN

Federal Reserve governor Adriana Kugler is stepping down early from the central bank's powerful board of governors, creating an immediate vacancy that will give President Donald Trump an early opportunity to shape the Fed's leadership as he continues to push for lower interest rates.

Kugler, a 55-year-old labor economist, was nominated by President Joe Biden, and her term was set to expire in January. Her unexpected resignation opens a slot on the Fed that could help shift the balance of the

central bank's policymaking, which Trump has been seeking for months.

Whoever Trump nominates to succeed Kugler may ultimately replace Jerome H. Powell as chair of the seven-member Fed board.

“We just found out that I have a open spot on the Federal Reserve Board. I'm very happy about that,” Trump said late Friday before boarding Marine One.

Trump has repeatedly attacked Powell for not moving to immediately slash the Fed's short-term interest rates, saying lower rates are needed to juice the economy. On Friday, he renewed those attacks, saying in a social media post that Powell should “be put 'out to pasture.’” In an earlier post, he referred to the Fed chief as “a stubborn MORON” and said the Fed board

SEE KUGLER ON A12

IN THE NEWS

Fighting wildfires goes high-tech A nonprofit hopes an aerial system of satellites and drone swarms will help detect and snuff out blazes around the world. A7

Commanders stadium deal The D.C. Council advanced the \$3.7 billion project in a 9-3 vote, to be followed by another in September. B13

THE NATION **The EPA** is planning to rescind rules on “forever chemicals,” but states are moving forward. A6 **The new NIH director** says cuts aim to reduce “ideological research,” and focus on health. A12

THE WORLD **Looting, chaos** and Israeli gunfire are still hindering aid distribution in Gaza. A9 **Trump repositioned** two nuclear subs after a former Russian president's online threats. A11

THE ECONOMY **China** is cracking down on counterfeit Labubus as it seeks to capitalize on the viral toy's global popularity. A13 **Former Napster staff** gathered to reminisce and consider the unexpected legacies of the short-lived but revolutionary start-up. A14

STYLE **The entity that doles** out funds to NPR, PBS and public radio and TV stations said that it is closing. B3

SPORTS **The Commanders'** Terry McLaurin has asked for a trade. Barry Svrluga says a deal likely isn't in the cards. B7

THE REGION **A Maryland teen** died after being trapped in a storm drain during Thursday's torrential flooding. B13 **The board** at George Mason University voted to end some DEI efforts but approved a raise for the school's embattled president. B13

BUSINESS NEWS.....A13 **COMICS**.....B4 **OBITUARIES**.....B16 **OPINION PAGES**.....A15 **TELEVISION**.....B6 **WORLD NEWS**.....A8

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